on one card over to a new card, which has a set period of low interest or no interest. The attraction of a balance transfer card is that without having to pay high interest, or any interest at all, you may find it easier to pay down your debt.

But be aware that banks recruit customers on balance transfer cards and intend to keep them on, using other products. With that in mind, take careful note of the interest rate that will kick in at the end of the balance transfer period, or you might be in for a fright. If the rate hikes from zero to two per cent, to nearer to 20 per cent, then it's not a good deal unless the debt is gone, Mickenbecker says. And give yourself a decent chance to chip away at the credit card debt. A three-month balance transfer period is often not enough to make headway, so seek out a card offering six months or more.

If you must have a credit card, don't be seduced by rewards alone. Mickenbecker says:

> People can be beguiled by great rewards offers and flights and all the rest of it, and those are good offers for the right people; for the wrong people, they are disastrous. The wrong people are those who don't spend a huge amount on their card but leave a balance on their card at the end of the month. If you are leaving a balance on the card, you have to make sure you get into a low-rate card, not a high-rate rewards card, because rewards cards can be up to 24 per cent [interest] – if you have debt left on your card, that is just too much. Typically, a premium rewards card is around 19 per cent. Make sure that you don't pay too much of an annual fee, relative to the actual rewards.

Mickenbecker says a low rate can be under ten per cent interest, but there are a raft of cards within the 11 to 12 per cent interest range, and big banks' cards tend to land at about 14 per cent interest. 'Where is the line in the sand? Go for as low as you can get.'

Australians are loyal to the big four banks – NAB, Commonwealth Bank, Westpac and ANZ – but that could mean missing out on a card that is a better individual fit. There is no harm in researching lesser-known lenders, such as customer-owned banking and credit union movements, which tend to offer lower-rate cards.